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Investor Presentation | Asia Pacific

China Property: An Inflection or Another False Start?

A potential housing inflection has re-emerged as a debate after secondary home sales unexpectedly rebounded since March. We stay prudent and suggest waiting for more clarity, as the first-stage valuation recovery has priced in continued sales growth.

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Key difference of market and our views

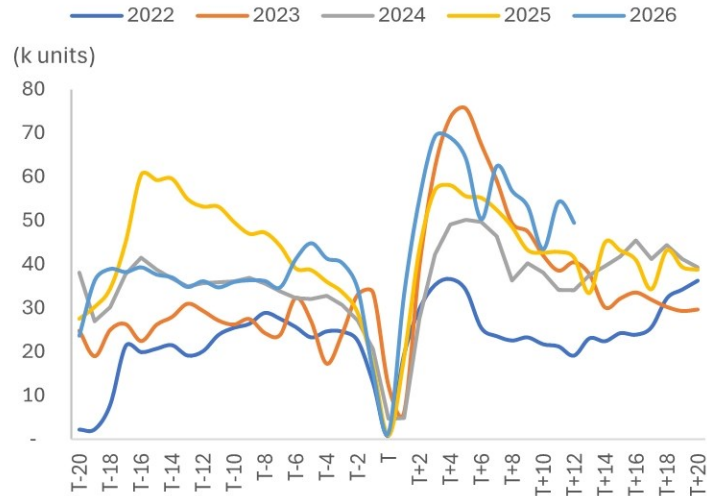
	Market	Morgan Stanley
Sustainability of secondary sales	Strong rebound in March-April without notable policy support may indicate an organic recovery in the making	Sustainability is in doubt given limited improvement in macro/housing indicators, divergent trends between new and secondary homes, and still-fragile resident sentiment
Diffusion into new homes	Secondary sales rebound could pull up primary sales volume via replacement demand from home sellers	Secondary sales pickup may cannibalize primary sales due to more competitive pricing, as home sellers are still eager to dispose of properties
Home prices in high-tier cities in 2026-27	Persistent m-m uptrend amid market recovery	Continued soft downtrend
Key focus	Whether the worst has passed in high-tier cities?	Whether the sales recovery is strong, broad and profitable enough to justify share prices?
Developers' normalized profit level	Core profits to witness dual expansion amid notable sales and margin improvement	Reduced primary market size, constrained leverage, homogeneous landbanking strategies, and continued drag from legacy inventory would limit medium-term earnings rebound potential
Valuation	P/B to recover to historical average level of ~0.8x (vs. ~0.5x now), suggesting at least high-double-digit % upside potential	2028E P/E and ex-IP EV/pre-sales have already exceeded bull-market levels; solid EPS uplift is key to driving share prices higher
Stock selection	Pure beta: COLI (0688.HK) / Jinmao (0817.HK)	Beta + Alpha: CR Land (1109.HK) / C&D (1908.HK)

Source: Morgan Stanley Research.

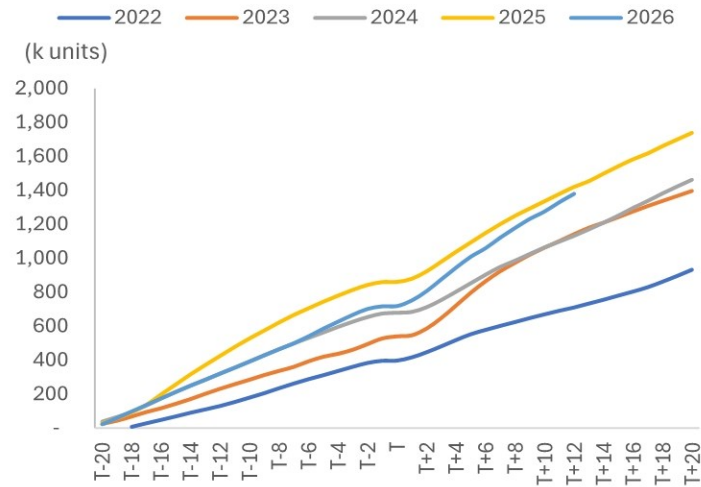
What has caused the unexpected secondary sales rebound?

Observation 1: CNY-adjusted growth may suggest pend-up demand was released from 4Q25 amid improved resident sentiment

Weekly secondary real-time homes sales of 25 major cities on CNY-adjusted basis



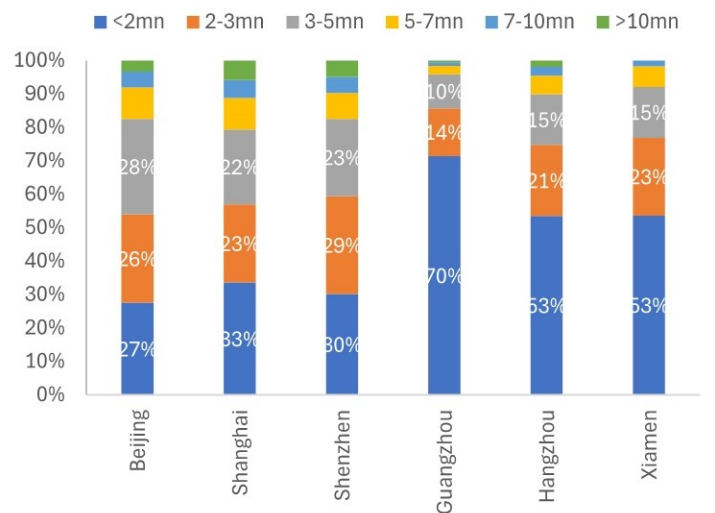
The weak 4Q25 and fast catch-up post-CNY of cumulative secondary home sales may suggest pend-up demand release in the 25 major cities



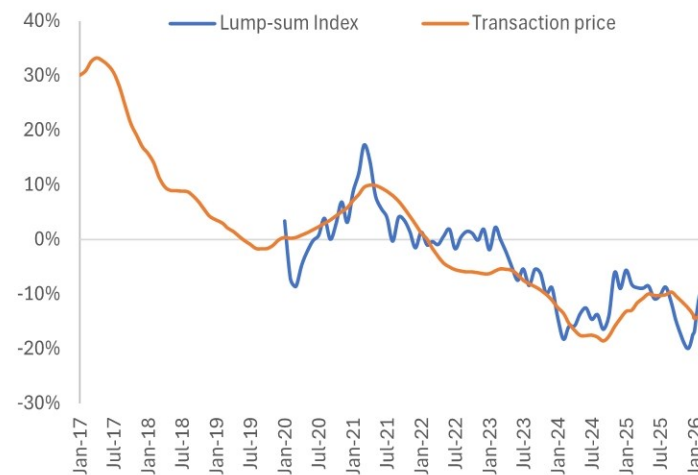
Source: Bingshan, Morgan Stanley Research. Note: T stands for Chinese New Year week.

Observation 2: Diverging performance between new and secondary home sales may suggest market shift

Housing with less than Rmb5mn/Rmb3mn lump-sum accounted for >80% of secondary home sales in top-tier cities in April 2026



Housing lump-sum index has been dropping faster than transaction home prices y-y since 2025, indicating increased share of small lump-sum housing

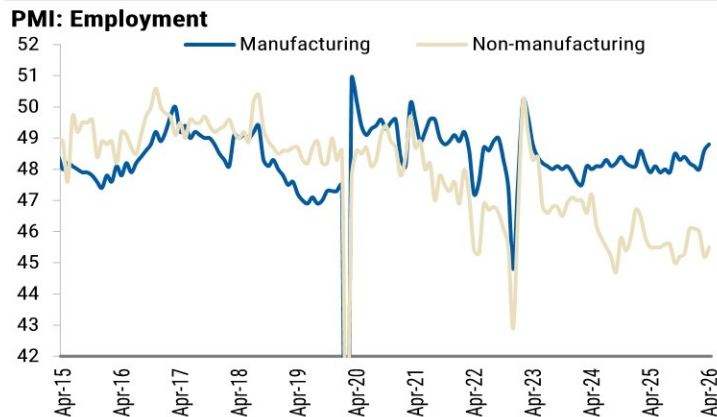


Source: Bingshan, Morgan Stanley Research.

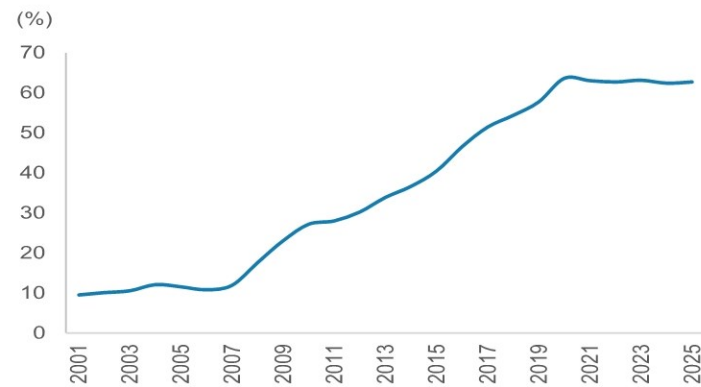
What Do We Expect on Sales Recovery?

Drag 1. Limited improvement on household income and leverage

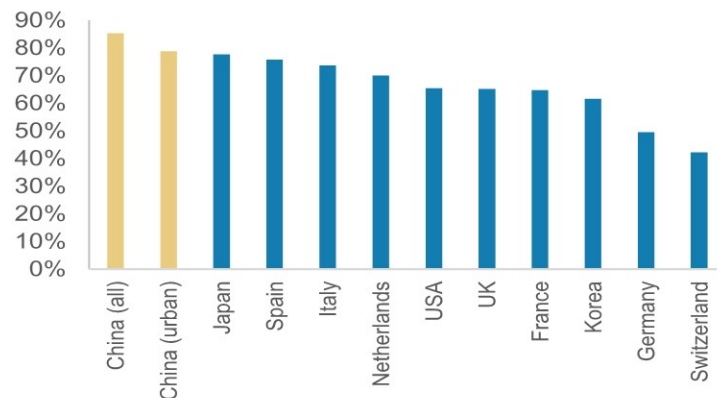
Employment PMI suggests non-manufacturing sectors are still under pressure



China household leverage remains elevated with limited improvement, despite home sales having cumulatively shrunk by ~40%



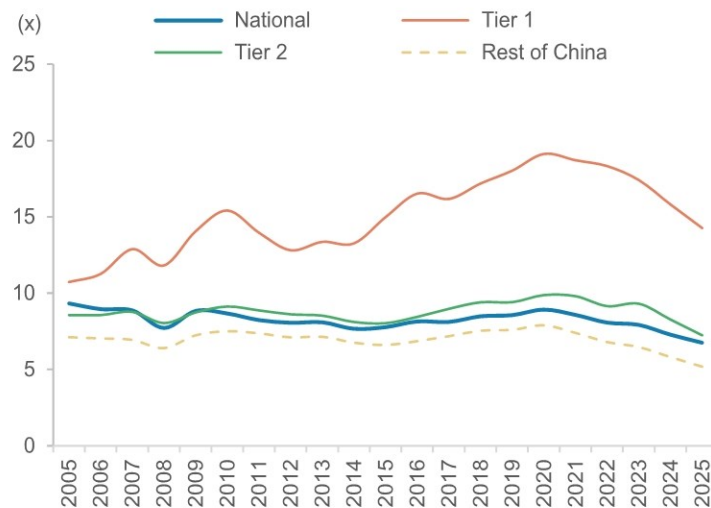
Home ownership ratio of China urban households reached ~80% in 2020, indicating that housing needs has been largely satisfied



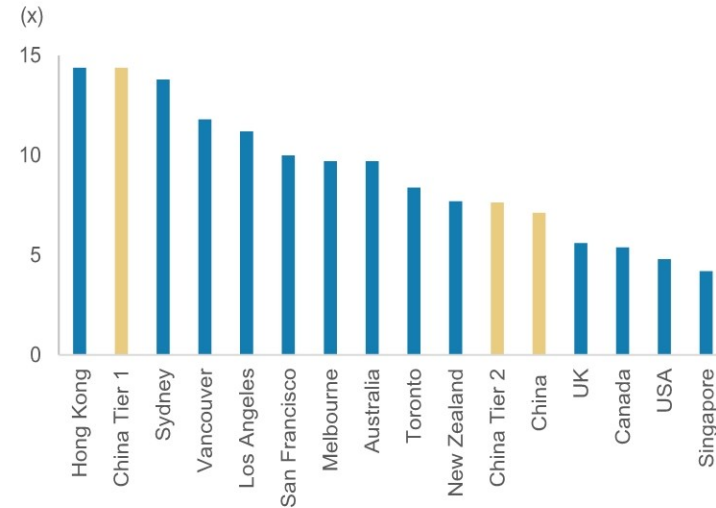
Source: NBS, Census, CEIC, Eurostat, US Census Bureau, Statista, Statistics Korea, Morgan Stanley Research.

Drag 1. Limited improvement on household income and leverage (con't)

Housing affordability in Tier 1 cities has dropped back to 2014-15 levels...



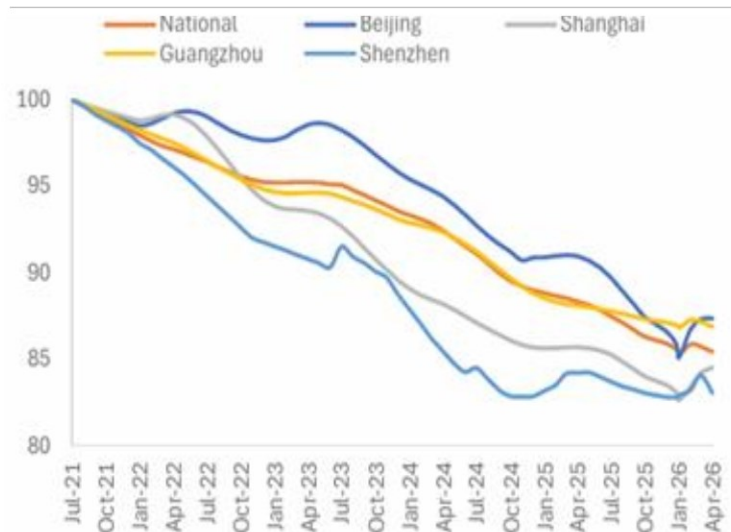
But remains much higher than global metropolitan areas



Source: NBS, Census, CEIC, Morgan Stanley Research

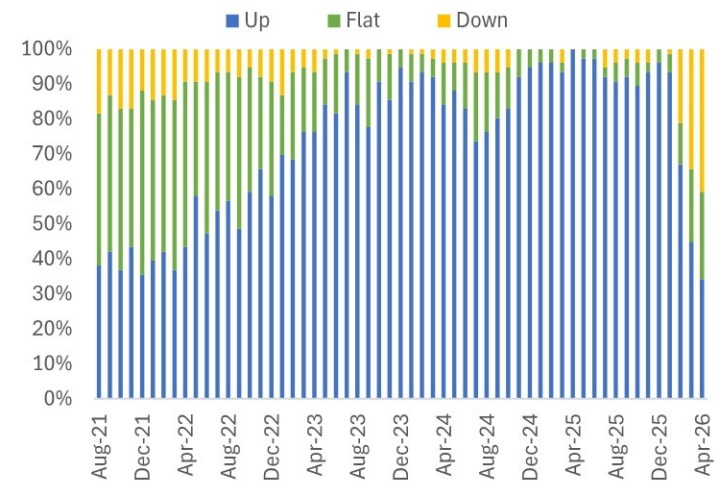
Drag 2. Rental rates are declining

Rental rates have cumulatively dropped ~15% since July 2021, and started to re-weaken again in April 2026



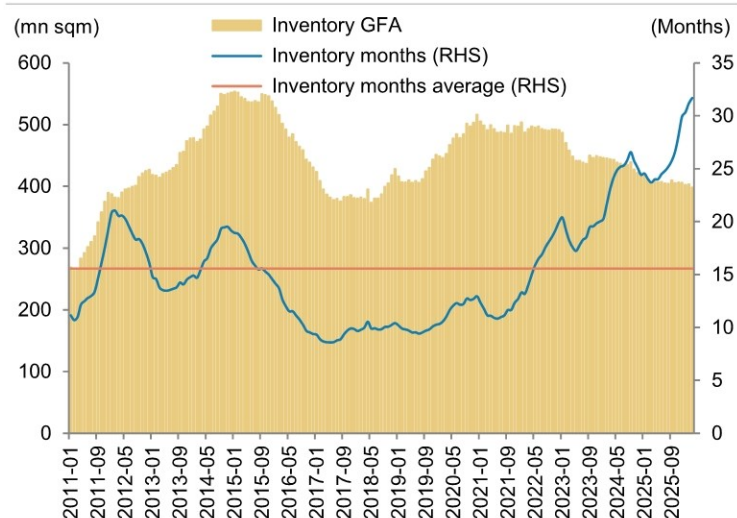
Source: Bingshan, Morgan Stanley Research.

More cities have seen their rental yields re-weaken amid falling rental rates in recent months, adding downside pressure on home prices

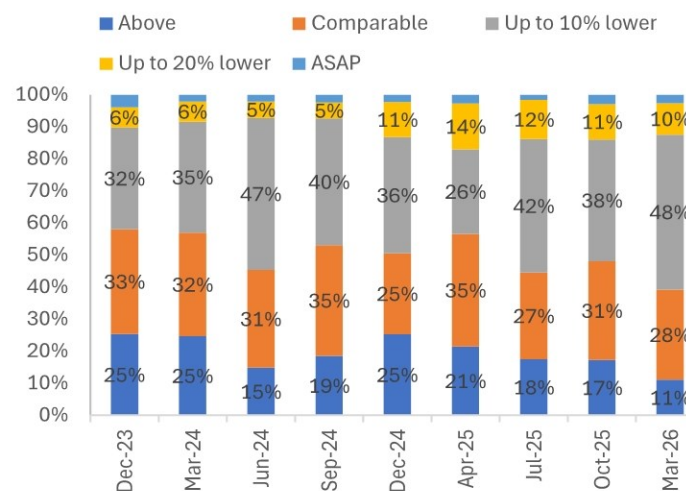


Drag 3. Primary inventory level remains elevated and disposal plans of secondary home owners are urgent

Primary inventory of 70 cities increased to 32 months in March 26



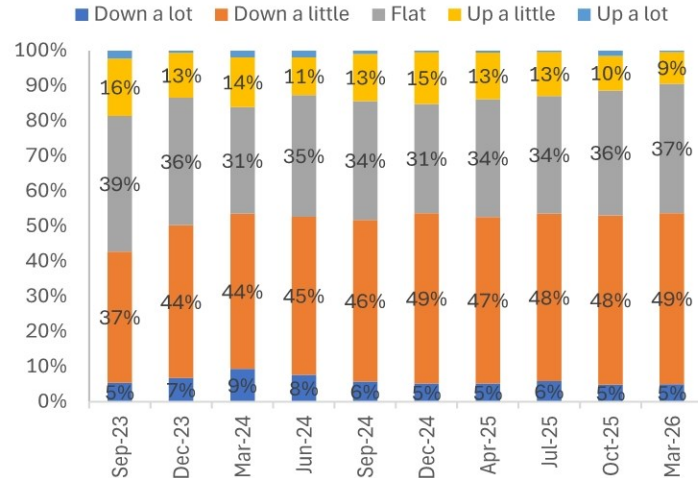
>60% of homeowners with home sales plans are willing to take losses, including 13% who could accept losses of >20%, as of March 2026



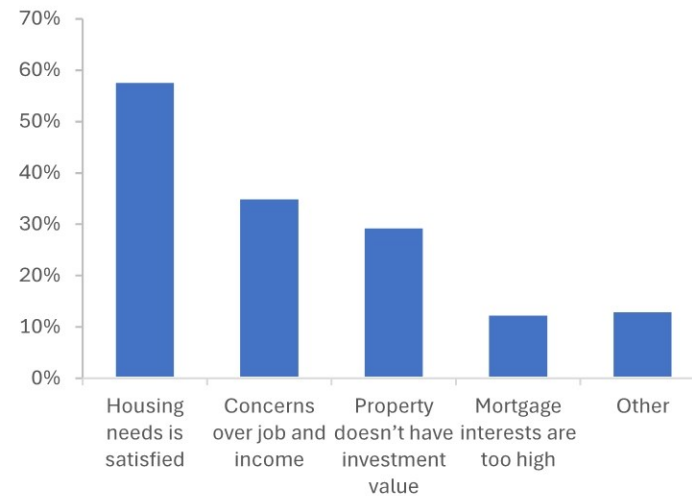
Source: CRIC, AlphaWise, Morgan Stanley Research.

Drag 4. Residents are bearish on home prices and have limited home purchase plans

Overall housing price outlook reached a record-week level in our March AlphaWise survey



Major reasons residents are not considering buying a property or another property, as of March 2026



Source: Alphawise, Morgan Stanley Research.

2026-27 home sales volume forecasts in our bull/bear/base scenarios

Scenarios	Conditions	Residential homes sales volume y-y					
		2026			2027		
		Primary	Secondary	Total	Primary	Secondary	Total
Base	No incremental policy boost + stable macro	Drop 8-10%	Up 5-7%	Largely flat	Drop 5-10%	Flat	Down 0-5%
Bull	More policy support + robust macro	Drop 0-5%	Up 10-15%	Up 5-10%	Up 5-10%	Up 15-20%	Up 10-20%
Bear	No incremental policy boost + weakened sentiment amid softening sales + stable	Drop 15-20%	Largely flat	Drop 8-10%	Drop 10-15%	Drop 0-5%	Drop 5-10%

Source: Morgan Stanley Research.

What Signposts Could Confirm a Real Inflection?

The macro economy, demographics, and housing market backdrop in the 2013-15 cycle were much healthier than they are now

	Indicators	2014-2015	2026	2026 vs. 2014-15
Macro economy	GDP growth	8-9%	4-5%	↓
	Credit growth (M2)	12-13%	8-9%	↓
	Interest rate (PBoC or 5-year LPR)	6-7%	3.50%	→
	Employment PMI (manufacturing sector)	~49	~48	↓
	Employment PMI (non-manufacturing sector)	~50	~46	↓
	Disposable income growth	9-11%	~5%	↓
	Household leverage (HH debt as % of GDP)	~40%	~60%	↓
	Household leverage (HH debt / disposable income)	3-4x	~6x	↓
Demographics	Population growth	0.5-0.7%	-0.20%	↓
	Birth rate	1.2-1.4%	0.60%	↓
	Workforce as % of total population	~72%	~69%	↓
	Urbanization ratio	~56%	~68%	↓
	Marriage cases per year	12-13mn	~6mn	↓
Housing market	Home ownership of urban households	~78%	~80%	↓
	Affordability (price to income ratio)	~13x in T1, ~8x in T2	~14x in T1, ~7x in T2	→
	Inventory month	15-20 months	>30 months	↓

- Based on the experience in the 2013-15 recovery cycle, **secondary home prices turned positive m-m after the sales volume had trended up m-m for 3 consecutive months in Tier 1 cities, and 9 months in Tier 2 cities**. Primary home prices remained negative m-m, but with a narrowing magnitude, until primary sales volume had improved for 10-11 months.
- Considering the current less-favorable macro/demographics/housing market health, as well as scar effect, we think it may take a longer period of sales volume improvement to support home prices turning positive m-m this time.

Source: CEIC, NBS, CREIS, Bingshan, Census, Morgan Stanley Research.

We think China is unlikely to repeat Hong Kong's recovery experience given the large divergence in demographics and housing market fundamentals

	Indicators	China	Hong Kong	China vs. HK
Macro economy	GDP growth	~5%	~5%	→
	Credit growth (M2)	8-9%	10-11%	↓
	Mortgage rate	3.06% (1Q26)	3.25% (current)	↑
	Employment condition	Weak	Healthy	↓
Demographics	Population growth	-0.17% CAGR in 2022-25	0.2% CAGR in 2022-25	↓
	Workforce as % of total population	~69%	~67%	↑
Housing market	Home ownership	~80% (2020.urban)	~50% (2025)	↓
	Rental yield	2-3% in high-tier cities	~3.5%	↓
	Positive carry	No	Yes	↓
	Affordability (price to income ratio)	T1: ~14x / T2: ~7x	~15x	↑
	Housing supply	Oversupply	Undersupply	↓

- The diverging trends in population and rental rates, and the notable gap in home ownership ratios lead us to believe that the fundamental housing needs in high-tier cities in China are weaker than that in Hong Kong. Therefore, we think the Hong Kong recovery case might not be applicable to high-tier cities in China at this stage.

Source: Morgan Stanley Research.

What is Already Priced in?

Current market caps imply 4.5x P/E on SOE developers' historical peak core profit on average, which is >2.5x higher than our estimated 2028 levels

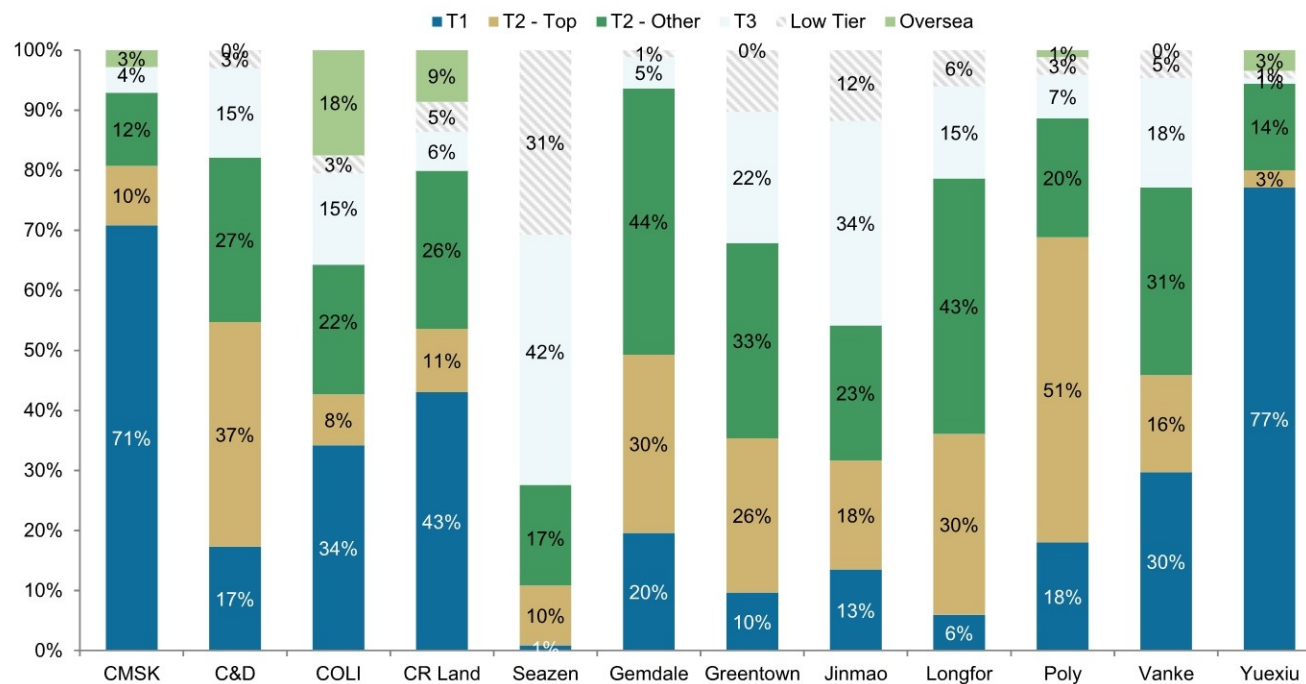
H Share	Ticker	Current Mkt Cap (LoC mn)	Historical Peak Core Profit (Rmb mn)	Implied P/E on Peak Profit (x)	Core profit		P/E		ROE			Development GPM		
					2028E (Rmb mn)	vs. Peak	Peak (x)	Diff vs. Adj. P/E	Peak (%)	2028E (%)	Diff (ppts)	Peak (%)	2028E (%)	Diff (ppts)
C&D	1908.HK	40,659	4,339	8.1	4,782	91%	7.7	0.4	23%	12%	-10%	11%	16%	5%
COLI	0688.HK	179,606	38,034	4.1	17,199	221%	6.1	(2.0)	13%	4%	-9%	30%	17%	-13%
CR Land	1109.HK	272,402	27,770	8.5	27,157	102%	8.1	0.4	11%	8%	-4%	21%	17%	-3%
Greentown	3900.HK	27,529	4,825	5.0	1,575	306%	8.2	(3.2)	11%	4%	-7%	17%	15%	-2%
Jinmao	0817.HK	26,079	6,115	3.7	2,138	286%	11.3	(7.6)	16%	5%	-11%	27%	16%	-11%
Longfor	0960.HK	68,703	22,540	2.6	4,312	523%	9.9	(7.3)	17%	2%	-14%	18%	-9%	-27%
Seazen H	1030.HK	16,416	8,564	1.7	1,848	463%	4.9	(3.2)	28%	4%	-25%	22%	12%	-10%
Vanke H	2202.HK	51,677	40,238	1.1	(13,682)	NA	8.6	(7.5)	20%	-26%	-45%	29%	11%	-19%
Yuexiu	0123.HK	18,960	4,238	3.9	2,860	148%	6.5	(2.6)	9%	5%	-4%	20%	13%	-8%
Median				3.9		254%		(3.2)	16%	4%	-10%	21%	15%	-10%
A Share														
CMSK	001979.SZ	80,693	14,276	5.7	2,921	489%	12.1	(6.4)	21%	3%	-19%	37%	17%	-21%
Gemdale	600383.SS	13,724	9,776	1.4	(1,895)	NA	6.9	(5.5)	18%	-6%	-24%	43%	8%	-35%
Poly	600048.SS	77,928	28,200	2.8	2,966	951%	6.9	(4.1)	13%	2%	-11%	33%	14%	-20%
Seazen A	601155.SS	35,910	13,056	2.8	2,893	451%	6.5	(3.7)	29%	4%	-25%	22%	12%	-10%
Vanke A	000002.SZ	44,851	40,238	1.1	(13,682)	NA	10.6	(9.5)	20%	-26%	-45%	29%	11%	-19%
Median				2.8		489%		(5.5)	20%	2%	-24%	33%	12%	-20%
Median (A+H)				3.2		306%		(3.9)	17%	4%	-13%	24%	13%	-12%
SOE average				4.5		254%		(2.9)	13%	5%	-9%	24%	16%	-9%
POE average				1.5		463%		(6.4)	20%	-2%	-25%	26%	11%	-19%

Source: Company data, Morgan Stanley Research (E) estimates. Share prices as of May 13, 2026 closing.

How to Position?

Be Selective and Balanced on Fundamental Beneficiaries

Major developers have increased their focus on Tier 1 and top-Tier 2 cities for land investment.

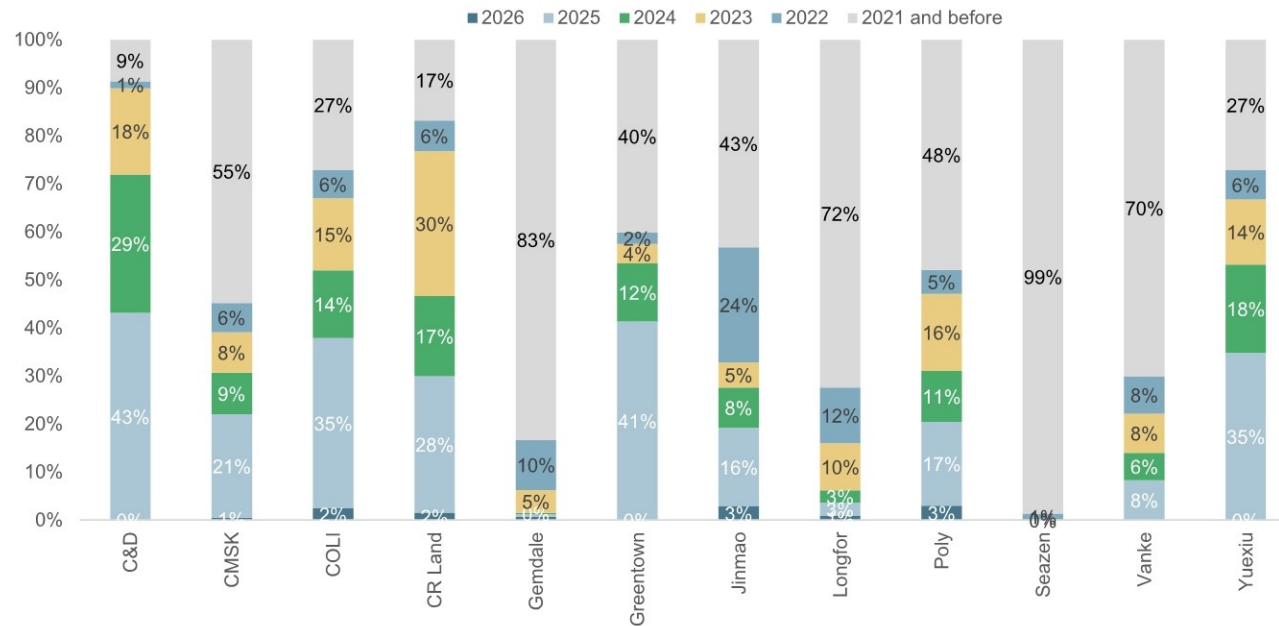


Note: The landbank of CMSK and Jinmao includes primary land development.

Source: Company data, Morgan Stanley Research estimates.

Be Selective and Balanced on Fundamental Beneficiaries (con't)

Legacy projects account for >40% of unsold saleable resources of major developers.



Note: The landbank of CMSK and Jinmao includes primary land development.

Source: Company data, Morgan Stanley Research estimates.

Valuation Summary Table

H Share	Ticker	Mkt Cap (USD mn)	Last Price (LoC)				NAV (LoC)	NAV Discount	P/E			P/B		Gearing		Dividend Yield		
				TP	Upside	Rating			2026E	2027E	2028E	2025A	2026E	2024A	2025A	2026E	2027E	2028E
C&D	1908.HK	4,699	16.41	21.18	29%	OW	32.59	-50%	8.4	7.5	7.1	1.06	0.98	32%	54%	6.3%	7.0%	7.0%
COLI	0688.HK	22,271	15.92	15.00	-6%	EW	21.46	-26%	12.7	11.8	8.8	0.39	0.38	29%	34%	2.9%	3.1%	3.7%
CR Land	1109.HK	32,739	35.92	42.60	19%	OW	60.88	-41%	9.5	8.9	8.2	0.77	0.69	31%	38%	3.9%	4.1%	4.4%
Greentown	3900.HK	3,223	9.93	7.15	-28%	UW	11.92	-17%	32.3	14.4	13.9	0.62	0.61	57%	66%	1.4%	3.1%	3.2%
Jinmao	0817.HK	2,971	1.72	1.79	4%	EW	2.75	-37%	19.2	13.0	9.4	0.53	0.52	125%	113%	1.7%	2.3%	3.0%
Longfor	0960.HK	7,747	8.54	8.00	-6%	EW	12.38	-31%	(73.3)	785.1	12.1	0.32	0.32	52%	52%	0.0%	0.0%	2.5%
Seazen H	1030.HK	1,903	2.05	2.88	40%	OW	4.80	-57%	13.2	10.4	7.0	0.27	0.27	54%	59%	0.8%	1.4%	2.9%
Vanke H	2202.HK	6,089	2.93	2.45	-16%	EW	4.08	-28%	(0.9)	(1.4)	(2.2)	0.26	0.36	81%	111%	0.0%	0.0%	0.0%
Yuexiu	0123.HK	2,264	4.40	4.43	1%	OW	6.82	-35%	25.1	9.8	5.4	0.28	0.27	54%	56%	1.6%	4.1%	7.5%
Median								-35%	12.7	10.4	8.2	0.39	0.38	54%	56%	1.6%	3.1%	3.2%
A Share																		
CMSK	001979.SZ	11,551	8.70	7.03	-19%	EW	10.81	-20%	50.5	32.0	26.9	0.80	0.80	50%	59%	0.9%	2.0%	2.8%
Gemdale	600383.SS	1,839	2.78	1.10	-60%	UW	1.70	64%	(1.7)	(2.3)	(6.6)	0.27	0.33	49%	65%	0.0%	0.0%	0.0%
Poly	600048.SS	10,612	6.05	5.51	-9%	EW	7.88	-23%	54.0	26.4	24.4	0.38	0.38	63%	63%	0.8%	1.8%	0.0%
Seazen A	601155.SS	4,571	13.83	20.60	49%	OW	34.29	-60%	19.7	15.6	10.8	0.51	0.49	53%	58%	0.5%	1.0%	1.9%
Vanke A	000002.SZ	6,067	3.68	2.15	-42%	UW	3.58	3%	(1.3)	(2.1)	(3.2)	0.37	0.52	81%	111%	0.0%	0.0%	0.0%
Median								-20%	19.7	15.6	10.8	0.38	0.49	53%	63%	0.5%	1.0%	0.0%
Median (A+H)								-30%	12.9	11.1	8.5	0.38	0.44	53%	59%	0.8%	1.9%	2.8%

Source: Company data, Morgan Stanley Research (E) estimates. Priced as of May 18, 2026.

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Global Stock Ratings Distribution

(as of April 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1546	42%	467	51%	30%	709	44%
Equal-weight/Hold	1568	43%	358	39%	23%	715	44%
Not-Rated/Hold	4	0%	0	0%	0%	1	0%
Underweight/Sell	555	15%	84	9%	15%	202	12%
Total	3,673		909			1627	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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INDUSTRY COVERAGE: China Property

COMPANY (TICKER)	RATING (AS OF)	PRICE* (05/18/2026)
Stephen Cheung, CFA		
C&D International Investment Group Ltd (1908.HK)	O (08/01/2024)	HK\$16.41
China Jinmao Holdings Group Ltd (0817.HK)	E (03/28/2024)	HK\$1.72

China Merchants Shekou Industrial Zone (001979.SZ)	E (05/06/2021)	Rmb9.04
China Overseas Land & Investment Ltd. (0688.HK)	E (01/20/2025)	HK\$15.92
China Resources Land Ltd. (1109.HK)	O (01/02/2019)	HK\$35.92
China Vanke Company Ltd. (2202.HK)	E (11/07/2023)	HK\$2.93
China Vanke Company Ltd. (000002.SZ)	U (11/30/2022)	Rmb3.71
Gemdale Corporation (600383.SS)	U (01/28/2026)	Rmb2.85
Greentown China Holdings (3900.HK)	U (08/26/2025)	HK\$9.93
Longfor Group Holdings Ltd. (0960.HK)	E (05/17/2024)	HK\$8.54
Poly Developments and Holdings Group (600048.SS)	E (05/17/2024)	Rmb6.17
Seazen Group Ltd (1030.HK)	O (01/28/2026)	HK\$2.05
Seazen Holdings Company Ltd. (601155.SS)	O (11/03/2025)	Rmb14.21
Yuxiu Property Co Ltd (0123.HK)	O (09/27/2024)	HK\$4.40

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